



The Morning Brief

JUNE 4, 2026

Streak Snapped

Nine-day S&P 500 win streak ended on Iran missile strikes against Kuwait and Bahrain — AVGO Q2 print beat with AI semi ↑143% YoY but slid after hours.

S&P 500 ↓0.70% · 9-day streak ended	WTI CRUDE (USO) \$140.86 · ↑2.62%	BITCOIN ~\$66K–\$67K per Yahoo	AVGO AH ~↓8% post-print per TradingKey	FEAR & GREED 12 · Extreme Fear
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SECTION 01

Markets

THE NINE-DAY S&P 500 WIN STREAK ENDED WEDNESDAY WITH THE S&P 500 PROXY ↓0.70% AND THE RUSSELL 2000 PROXY ↓1.37% LEADING THE DECLINE — ENERGY (XLE ↑1.29%) WAS THE LONE CYCLICAL BRIGHT SPOT AS OIL REASSERTED ON IRANIAN MISSILE STRIKES AGAINST KUWAIT AND BAHRAIN PER REUTERS

Per the data drop, Wednesday closed with the S&P 500 proxy ↓0.70% to \$754.24 (intraday low \$753.57), the Dow proxy ↓1.13% to \$508.26, and the Nasdaq proxy ↓0.26% to \$744.21 — per CNBC reporting, the session ended the nine-consecutive-session win streak that carried the index to fresh records Tuesday. The Russell 2000 proxy ↓1.37% to \$287.67 led the decline, a sharp reversal from Tuesday’s ↑0.93% leadership and consistent with a risk-off rotation rather than a clean breadth broadening. Sector participation flipped from Tuesday’s seven-of-eleven green to five-of-eleven Wednesday, with the defensive complex outperforming: Energy (XLE ↑1.29%), Healthcare (XLV ↑0.79%), Staples (XLP ↑0.40%), and Materials (XLB ↑0.21%) carried the green tally, while Communication Services (XLC ↓1.31%), Financials (XLF ↓1.15%), and Tech (XLK ↓1.00%) led the laggards. The UVXY VIX proxy held essentially flat at \$29.08 ↓0.24% despite the equity weakness, consistent with an orderly rotation rather than a positioning shock. Within IOWN, AMD ↑4.02% to \$542.52, FAST ↑3.87% to \$46.46, HRMY ↑3.85%, QCOM ↑3.81% to \$250.01, and MRVL ↑3.73% to \$301.65 carried the top tally; the bottom carried CRDO ↓6.29% to \$214.60 (extending Monday’s post-print weakness), COIN ↓6.19%, HOOD ↓6.02%, ETHA ↓5.56%, and NVDA ↓3.62% to \$214.75. Then Broadcom printed after the close.

BROADCOM REPORTED Q2 FY26 REVENUE OF \$22.2B (↑48% YOY) WITH AI SEMI REVENUE AT \$10.8B (↑143% YOY) AND AI BOOKINGS ABOVE \$30B PER THE COMPANY — BUT THE STOCK SLID APPROXIMATELY 8% AFTER HOURS PER TRADINGKEY ON A Q3 TOTAL GUIDE OF \$29.4B AND CEO HOCK TAN’S DECISION TO MAINTAIN RATHER THAN RAISE THE \$100B FY AI TARGET

Per Broadcom’s Q2 release and Motley Fool transcript coverage, consolidated revenue printed at \$22.2B (↑48% YoY), non-GAAP EPS of \$2.44 against a \$2.32 consensus per public.com coverage, with AI semiconductor revenue of

\$10.8B (↑143% YoY) and Q3 AI revenue guidance pointing to approximately \$16B (↑200% YoY) on \$30B+ in cumulative AI bookings. The headline AI prints validated the supplier-side capex picture that MRVL anchored Tuesday with its ↑35% YoY Q2 guide. The post-print reaction, however, was driven by the same dynamic that hit CRDO Monday: per TradingKey, Indmoney, and Yahoo coverage, shares slid roughly 8% after hours as the Q3 total guide of \$29.4B sat in line rather than ahead of elevated expectations, the company maintained — rather than raised — its \$100B FY26 AI chip

target per ChartMill, and the strategic pivot to chip-only sales rather than full integrated AI systems disappointed bulls expecting a broader systems narrative. For IOWN, the read-through is the second clean example this week that supplier-side AI demand remains structurally strong while at-multiple valuation sensitivity has fully re-emerged.

ADP MAY PRIVATE PAYROLLS PRINTED AT ↑122K AGAINST A 117K CONSENSUS PER THE BLS-ADJACENT ADP RELEASE, WHILE ISM SERVICES MAY CAME IN AT 54.5 (↑0.9 VERSUS APRIL) PER ISM — BUT THE ISM SERVICES EMPLOYMENT SUB-INDEX CONTRACTED FOR THE THIRD CONSECUTIVE MONTH AT 47.9, SPLITTING THE “HOT GROWTH” SIGNAL FROM A CONTINUED HIRING SLOWDOWN

Per the ADP press release Wednesday, private-sector employment increased ↑122K in May, above the 117K consensus and a revised ↑105K April prior, with eight of ten supersectors gaining and education/health services contributing 57K of the total. Per the ISM Services release, the May PMI registered 54.5 against a 53.8 consensus and a 53.6 April prior — the strongest three-month read — with Business Activity at 57.7 and New Orders at 57.3 both accelerating. The Services Employment sub-index, however, printed at 47.9 against a 48.0 prior, marking a third consecutive month of contraction per ISM commentary; respondents cited hiring freezes and non-backfilling of vacated positions. Separately,

the Federal Reserve Beige Book Wednesday described slight-to-moderate growth in ten of twelve districts with most districts reporting higher inflation tied to Middle East energy pass-through, and the OECD released its June 2026 Outlook lowering US GDP growth projections to 2.0% in 2026 and 1.8% in 2027 from prior expectations, citing the Middle East conflict as the dominant force. The data set frames Friday’s May Employment Situation at 7:30 AM CT as the binding catalyst for whether the “hot growth” sequence holds or whether the services-employment crack widens into the official BLS report.

AVGO Q2 REVENUE	\$22.2B · ↑48% YoY per company
AVGO AI SEMI Q2	\$10.8B · ↑143% YoY per company
AVGO Q3 AI GUIDE	~\$16B · ↑200% YoY per company
AVGO POST-PRINT	~↓8% AH per TradingKey
ADP MAY	122K vs 117K est · April rev to 105K per ADP
ISM SERVICES MAY	54.5 vs 53.8 est · Employment 47.9 (3rd mo. contract)
BEIGE BOOK	10/12 districts modest growth, inflation pickup
OECD US GDP	2.0% 2026 · 1.8% 2027 per OECD
CARSON'S ACTIVE LEVEL	SPY \$645.80 support · Untouched (Wed low \$753.57)

A session where the index broke its nine-day streak on geopolitical re-escalation, Energy and defensives carried the only green sector tally, AVGO printed ↑143% YoY AI revenue and still sold off after hours, and the Services Employment sub-index extended its contraction to a third month is a tape where the macro split between “hot growth” and “cooling labor” sits on the same release. Avoid Erosion.

Geopolitics

IRAN LAUNCHED MISSILE STRIKES AGAINST KUWAIT AND BAHRAIN WEDNESDAY PER REUTERS AND THEIR RESPECTIVE FOREIGN MINISTRIES — OIL REASSERTED WITH USO ↑2.62% TO \$140.86 AND BRENT (BNO) ↑1.99% TO \$53.94, WHILE THE ENERGY EQUITY SLEEVE CAPTURED THE MOVE ACROSS CVX, VLO, AND OKE

Per Reuters and Al Jazeera coverage Wednesday, Iran launched missiles against Kuwait and Bahrain in a fresh escalation, with damage to infrastructure reported and at least one casualty per Kuwait's foreign ministry. Per CNN and Bloomberg coverage cited in the data drop headlines, oil reasserted on the strikes — USO ↑2.62% to \$140.86 and BNO ↑1.99% to \$53.94 per the data drop, reversing some of the recent compression. The IOWN energy sleeve captured the move: CVX ↑1.15% to \$189.71, VLO ↑1.24% to \$261.45, OKE essentially flat at \$86.75 (↑0.03%), and CNX ↑0.75% to \$33.57. CTRA remained at depressed levels around \$32.56 as the company-specific weakness from earlier in the week has not recovered — the position continues to warrant diligence. On the diplomatic track per CNN, President Trump characterized US-Iran negotiations as going well Wednesday, while Iranian Foreign Minister Araghchi separately indicated no meaningful progress had been made in recent days — the mixed readouts continued the pattern from prior sessions where official statements diverge across capitals. The OECD Outlook released Wednesday described the Middle East conflict as the dominant force shaping the global economic outlook, with energy and key agricultural and industrial inputs from the Persian Gulf having soared since the conflict began.

ISRAEL AND LEBANON AGREED TO IMPLEMENT A CEASEFIRE MECHANISM WEDNESDAY PER REUTERS AND CNN, CONTINGENT ON A CESSATION OF HEZBOLLAH FIRE AND THE REMOVAL OF HEZBOLLAH OPERATIVES FROM SOUTHERN LEBANON — THE POLITICAL AND SECURITY TRACKS ARE SCHEDULED TO RECONVENE THE WEEK OF JUNE 22, WHILE THE US HOUSE PASSED A WAR POWERS RESOLUTION 215–208 PUSHING BACK ON THE IRAN CONFLICT

Per Reuters and CNN coverage Wednesday, Israel and Lebanon agreed to implement a ceasefire arrangement, contingent on a cessation of Hezbollah fire and the removal of Hezbollah operatives from southern Lebanon, with both sides reportedly scheduled to reconvene the political and security tracks the week of June 22 with a view toward a comprehensive agreement. The framework remains fragile per CNN reporting — the ongoing ceasefire has seen repeated violations across recent weeks — but the formal implementation step is a measurable improvement from the Tuesday position where southern Lebanon strikes had resumed. Separately per NPR, Washington Post, and CBS coverage, the US House Wednesday passed a war powers resolution 215–208 directing the president to end hostilities with Iran, with four Republicans (Massie, Fitzpatrick, Barrett, Davidson)

joining Democrats. The vote is mostly symbolic given the Republican-led Senate and almost-certain presidential veto, but it represents the first such measure to clear either chamber on a final vote since the conflict began. For IOWN defense exposure (LMT ↓0.27% to \$512.03, GD ↓0.17% to \$337.04 Wednesday), the structural backlog story remains intact regardless of the political tape; the energy sleeve sits constructively against both the immediate war-premium reasserting on Hormuz disruption and the OECD's flagged prolonged-disruption scenario.

IRAN STRIKES	Kuwait and Bahrain hit per Reuters
US-IRAN TALKS	Trump positive vs Araghchi negative readout per CNN
ISRAEL-LEBANON	Ceasefire implementation agreed per Reuters/CNN
HOUSE WAR POWERS	215–208 · 4 Republicans joined per NPR
WTI (USO WED)	\$140.86 · ↑2.62% on strikes
BRENT (BNO WED)	\$53.94 · ↑1.99%
OECD US GDP	2.0% 2026 · Conflict dominant per OECD

On Our Radar

1. Initial Jobless Claims for the week ending May 30 prints at 7:30 AM CT with consensus 213K against a 215K prior per the data drop, alongside Q1 Nonfarm Productivity Final (est 0.5% QoQ vs 1.6% prior) and Unit Labor Costs Final (est 2.5% QoQ vs 4.6% prior). Continuing Claims consensus sits at 1.78M against a 1.786M prior. The combination is the last meaningful labor read before tomorrow's May Employment Situation and the final communication window before the FOMC blackout begins Saturday June 6 — Richmond Fed President Barkin speaks at 7:30 AM CT and San Francisco Fed President Daly speaks at 12:10 PM CT per the data drop calendar. A material unit-labor-cost deceleration toward the 2.5% estimate would partially counterweight the inflation pickup the Beige Book flagged Wednesday and would matter at the margin for the rate-path framing in front of the June 16–17 FOMC. *Avoid Erosion.*

2. May Employment Situation prints Friday June 5 at 7:30 AM CT per the BLS release schedule — April's ↑115K nonfarm payrolls with the unemployment rate at 4.3% per the prior release sit as the comparison base, against a labor backdrop where ADP printed ↑122K, ISM Services Employment contracted at 47.9 for a third month, and JOLTS surprised at 7.6M Tuesday. The split signal — private payrolls expanding above estimate while the services hiring sub-index contracts — frames the Friday print as the binding catalyst for whether the “hot growth, cooling labor” combination resolves toward growth (consensus-or-better headline, payrolls sustaining north of 100K) or toward the labor crack (sub-100K, services-side weakness bleeding into the official count). Average hourly earnings remain the secondary inflation tell into the FOMC. The committee's dividend backbone (ADP, SYK, ABT, GPC, FAST ↑3.87% Wednesday) is positioned to compound through whichever way the report breaks. *Think Like an Owner.*

3. AVGO's after-hours decline of approximately 8% per TradingKey, against a Q2 print delivering AI semi revenue ↑143% YoY and Q3 AI guidance of approximately \$16B (↑200% YoY) per the company, is the second clean example this week that supplier-side AI demand remains structurally strong while at-multiple valuation has fully re-engaged. The pattern mirrors CRDO Monday: Q4 revenue beat with in-line forward guidance produced an outsized downside reaction at the elevated multiple. For IOWN, AMD ↑4.02% to \$542.52 was the standout Wednesday alongside MRVL ↑3.73%, QCOM ↑3.81%, LRCX ↑2.78%, and ADI ↑3.42%; NVDA ↓3.62% to \$214.75 and TSM ↓2.24% to \$436.69 were the offsets. CRDO closed Wednesday at \$214.60 (↓6.29%), extending the post-print slide. The connectivity exposure (MRVL, CRDO, NXPI, TEL) sits constructively against the demand thesis while the forward-guide cadence has demonstrably become the binding constraint on at-multiple reactions. *Research Reveals Opportunities.*

4. The Iran framework re-escalated Wednesday with missile strikes against Kuwait and Bahrain per Reuters, oil reasserted with USO ↑2.62% and BNO ↑1.99%, while Israel and Lebanon separately agreed to implement a ceasefire mechanism per Reuters and CNN — the splits across regional fronts have widened rather than converged. The IOWN energy sleeve captured Wednesday's directional move with CVX ↑1.15%, VLO ↑1.24%, CNX ↑0.75%, OKE ↑0.03%; the XLE sector ETF ↑1.29% led the green tally on the day. The OECD's prolonged-disruption scenario per the June 2026 Outlook described supply constraints persisting into late 2027 in the adverse case — the sleeve sits constructively against that scenario while still earning the structural cash flows underneath any near-term de-escalation. Defense (LMT ↓0.27%, GD ↓0.17%) consolidated for a third session despite the strikes; the House's 215–208 war powers vote per NPR has limited near-term policy effect but signals incremental political pushback. **The physical world matters.**

5. Bitcoin traded near \$66K–\$67K per Yahoo coverage Wednesday after sliding from the prior week's mid-\$70K range — IBIT closed Wednesday ↓2.76% to \$37.00 and ETHA ↓5.56% to \$13.58 per the data drop, both at fresh near-term lows. The crypto-adjacent equity sleeve followed: COIN ↓6.19% to \$163.22, HOOD ↓6.02% to \$82.85, MARA ↓2.24%, and HUT ↓1.30%. Per Benzinga coverage cited in the data drop news, US spot Bitcoin ETFs sold approximately \$500M during the implosion to \$67,000, and the multi-day cumulative outflow has extended. The Fear & Greed reading held at 12 (Extreme Fear) per the data drop — essentially unchanged from Tuesday's 11 — against a still-elevated equity index, sustaining the price-vs-sentiment divergence at single-digit territory. The committee's IBIT/ETHA

exposure sits against a slower institutional accumulation cadence rather than a thesis-breaking move, but the eleven-plus straight days of outflows per Bittrue tracking warrants monitoring. *Simplicity Over Complexity.*

6. Carson's active SPY \$645.80 support remains untouched as the streak-break session printed an intraday low of \$753.57 per the data drop — still materially above the level even after Wednesday's streak-break decline. The Fear & Greed reading at 12 (Extreme Fear) per the data drop against a session that broke a nine-day streak frames a continued price-vs-sentiment divergence at single-digit magnitude. Historically, when price retraces from records into a sentiment that is already at extreme-fear territory, the resolution tends to be either a sharp mean-reverting bounce on any catalyst clearance or a more durable rotation depending on whether Friday's payrolls confirm or break the “hot growth” sequence. The level remains Carson's framework for any sustained downside scenario rather than an actionable near-term marker.